

VIDEO RECORDING FOR CREDIT ANALYST

Good morning Darren,

Thank you for taking the time to review this. In this recording, I'll walk you through our annual credit review of Green Solutions Manufacturing Ltd - covering the quantitative financial analysis completed previously, the industry and macroeconomic research I've since carried out, and my overall recommendation on the client's creditworthiness.

Introduction:

Green Solutions Manufacturing Ltd is one of our long-standing clients and a market-leading manufacturer of sustainable drinkware, including reusable water bottles and coffee cups. The company operates manufacturing facilities in three countries and serves a client base of over 50 million customers, with several sustainability awards underlining its position as an industry leader in eco-friendly production. They are currently seeking additional credit from us to fund further sustainability-related capital investment, having already increased sustainability capex by 150% since 2022.

Quantitative Analysis:

- Revenue grew 71% year-on-year, from £31.5m to £53.8m, with EBITDA margin more than doubling from 4.7% to 10.3%.
- Leverage (Debt/EBITDA) fell sharply from 7.8x to 1.2x, and EBITDA interest cover improved from 2.1x to 17.5x - both point to a much stronger credit position.
- The client remained in a net cash position in both years, and free cash flow stayed positive despite a significant step-up in capital expenditure.
- The one area to flag is the current ratio, which declined from 1.87x to 1.37x as trade payables grew faster than current assets - still healthy, but a trend worth monitoring.

Industry Research:

- The reusable water bottle market is estimated at roughly \$9-13bn today, forecast to grow at a CAGR of around 2.8% to 2034 globally - though the UK specifically is projected to grow more slowly, at around 1.5% CAGR, versus faster-growing markets like India (6.5%) and China (4.7%).
- Metal/steel bottles remain the dominant product segment by market share, which aligns well with Green Solutions' core stainless steel drinkware range.
- The reusable coffee cup market is forecast to grow faster, at a 5.8% CAGR, from around \$13bn to \$25bn by 2031, with Europe as the largest regional market - a positive signal given the client's UK and European customer base.
- Regulatory tailwinds are building: the EU's Packaging and Packaging Waste Regulation takes effect from August 2026, and the UK has its own extended producer responsibility scheme for packaging - both are pushing brands and retailers toward reusable alternatives, which should support structural demand for the client's products.
- On the macro side, the Bank of England has held its base rate at 3.75% through much of 2026 with inflation still running above target, so borrowing costs remain elevated relative to recent years - relevant given the client is seeking new credit.
- Raw material costs are also a factor: stainless steel and nickel prices have been firm through 2026, and new UK tariffs of up to 50% on steel imports above quota (from July 2026) could add cost pressure if the client sources specialist grades from overseas.

Key Findings:

- Financial health: the sector tailwinds - particularly incoming packaging regulation in the UK and EU - reinforce the positive financial trajectory identified in the quantitative analysis, supporting continued revenue growth and the case for extending credit.

- Key risks: elevated UK interest rates increase the cost of new borrowing; firm raw material and steel tariff costs could pressure margins if not passed through; the UK water bottle market itself is forecast to grow slower than other geographies, so sustained growth may increasingly rely on export markets or the faster-growing coffee cup segment; and the declining current ratio from Task 1 remains a liquidity point to monitor.

- Opportunities: regulatory-driven demand growth for reusable drinkware, combined with the client's established sustainability credentials and de-levered balance sheet, position it well to fund further capacity and capture market share.

Conclusion:

Taken together, the quantitative and industry analysis both support a positive credit view of Green Solutions Manufacturing Ltd. The client has significantly de-levered, improved profitability, and operates in a sector benefiting from clear regulatory tailwinds. My recommendation is to proceed with the credit request, with the current ratio trend and input cost exposure flagged as ongoing monitoring points. Happy to discuss further or answer any questions - thank you.